

**MECHANICS BANK v TWISTED OAK WINERY, LLC**

**25CV47803**

**PLAINTIFF'S MOTION TO CORRECT CLERICAL ERROR  
AND AMEND JUDGMENT NUNC PRO TUNC**

On or about April 10, 2025, Mechanics Bank ("Plaintiff") obtained a default judgment in against Twisted Oak Winery ("Twisted Oak"). (Declaration of Jeffrey B. Kirschenbaum ("Kirschenbaum Decl." ¶ 9.) On May 14, 2025, Plaintiff's counsel inadvertently submitted, and the clerk entered, a default Judgment against Twisted Oak pursuant to Code Civ. Proc. § 585(a), which states that "Defendant was sued only on a contract or judgment of a court of this state for the recovery of money." (*Id.* ¶ 11.) Plaintiff now seeks to amend the judgment to include a judgment of foreclosure in addition to money damages.

**I. Background Facts**

This action concerns a 120-acre vineyard and winery located in Vallecito, California (the "Property"). In 2004, the Stai Family Trust borrowed the purchase price from Plaintiff and agreed to repay the loan by monthly payments through October 2033. The loan is guaranteed by defendant Twisted Oak, an entity formed by Jeff Stai to own and operate the property. The guaranty is secured by a Deed of Trust given by Twisted Oak, in which Twisted Oak promised to maintain and to protect the Property, and not to cause or permit any nuisance or waste on the property.

On or about October 18, 2004, Plaintiff and the Stai Family Trust entered into a Business Loan Agreement. On that same date, Stai and Mary Stai, as trustees of the Stai Family Trust, executed and delivered to Plaintiff a Promissory Note (the "Note"). The Note evidenced a loan from Plaintiff to the Stai Family Trust ("Borrower") in the principal amount of \$2,546,000 (the "Loan").

The Note is guaranteed by Twisted Oak. Twisted Oak's guarantee is secured by a Deed of Trust made by Twisted Oak in favor Plaintiff, dated October 18, 2004, and filed in the Official Records of Calaveras County on October 29, 2004, as document number 2004-23821 (the "Deed of Trust").

The Deed of Trust irrevocably grants, transfers and assigns to Plaintiff, in trust, with power of sale, all of Twisted Oak's right, title and interest in the real property located at 4280 Red Hill Access Road and 4002 Red Hill Access Road, Vallecito, CA 95251,

together with "all existing or subsequently erected or affixed buildings, improvements and fixtures; all easements, rights of way, and appurtenances; all water, water rights and ditch rights (including stock in utilities with ditch or irrigation right); and all other rights, royalties, and profits relating to the real property, including without limitation all minerals, oil, gas, geothermal and similar matters" (the "Property").

The Deed of Trust provides that upon an Event of Default, "Lender shall have the right in lieu of foreclosure by power of sale to foreclose by judicial foreclosure in accordance with and to the full extent provided by California law."

On or about August 23, 2013, Plaintiff and Borrower entered into a Change in Terms Agreement, whereby Mechanics Bank agreed to modify and amend the Loan by, among other things, deferring outstanding interest and changing the interest rate applicable to the Loan. All other terms as set forth in the original loan documents remained in full force and effect.

On or about October 4, 2021, Twisted Oak filed for bankruptcy protection under Subchapter V of Chapter 11 of the United States Bankruptcy Code. On or about October 5, 2022, the United States Bankruptcy Court for the Eastern District of California entered an Order confirming the Third Amended Subchapter V Plan filed by Twisted Oak Winery, LLC (the "Plan"). The Plan modified the terms of the loan. The Stai Family Trust failed to make the payment that was due under the Note on March 1, 2024, or any payment that came due thereafter, as required by the loan agreements as modified by the Plan.

By letter dated April 10, 2024, Plaintiff provided Borrower, Jeff Stai, Mary Stai, and Twisted Oak with written notice of their defaults under the Note, and of Plaintiffs intent to take immediate action to enforce its right to repayment. As of April 30, 2024, \$2,460,128.47 was due and owing to Plaintiff by Borrower, and by Twisted Oak, Jeff Stai, and Mary Stai, as Guarantors.

## **II. Procedural History**

On January 6, 2025, Plaintiff filed a Verified Complaint herein alleging three causes of action: (1) judicial foreclosure; (2) appointment of receiver; and (3) breach of guaranty.

Twisted Oak was served with the Summons and Verified Complaint by personal service upon Jeff Stai, Twisted Oak's registered agent for service of process, at Mr. Stai's home at 402 Allen Lane, Murphys, CA 95247. (Kirschenbaum Decl. ¶ 5, Ex. A.) Twisted Oak did not answer or otherwise respond to the Verified Complaint. (*Id.* ¶ 6.)

On January 21, 2025, Plaintiff filed an ex parte application for the appointment of a receiver over the Property. Notice of the ex parte application was provided to Twisted Oak through service on Jeff Stai as Twisted Oak's registered agent, as well as on two attorneys known to Plaintiff to be representing Twisted Oak and/or Jeff Stai in related matters. (Kirschenbaum Decl. ¶ 7, Ex. B.) Twisted Oak did not contest the ex parte application. (*Id.* ¶ 8) On January 31, 2025, this Court entered an order appointing Peter F. Martin as receiver over the Property. (*Ibid.*)

On April 10, 2025, the clerk entered Twisted Oak's default. (Kirschenbaum Decl. ¶ 9 and Ex. C.) On April 15, 2025, the clerk entered a Request for Clerk's Judgment based on the default previously entered on April 10, 2025. (Kirschenbaum Decl. ¶ 10 Ex. D.) On May 14, 2025, Plaintiff's counsel inadvertently submitted, and the clerk entered, a default Judgment against Twisted Oak pursuant to Code Civ. Proc. § 585(a), which states that "Defendant was sued only on a contract or judgment of a court of this state for the recovery of money." This was incorrect, because the Verified Complaint also pleaded claims for judicial foreclosure. Plaintiff's counsel tried to retrieve the Judgment shortly after submitting it for filing but was unable to do so, as it had already been delivered to the clerk for signature. (Kirschenbaum Decl. ¶ 11, Ex. E.)

### **III. Discussion**

Plaintiff moves to amend the judgment pursuant to Code of Civil Procedure section 473 and 585. No opposition or other motion has been filed in response to this motion to amend.

Code of Civil Procedure section 473(d) states: "The court may, upon motion of the injured party, or its own motion, correct clerical mistakes in its judgment or orders as entered, so as to conform to the judgment or order directed, and may, on motion of either party after notice to the other party, set aside any void judgment or order."

Thus, the Court has the inherent power to correct clerical errors in its records so as to make these records reflect the true facts. (*In re Candelario* (1970) 3 Cal. 3d 702, 705.)

Unless the challenged portion of the judgment was entered inadvertently, it cannot be changed post judgment under the guise of correction of clerical error." (*Tokio Marine & Fire Ins. Corp. v. Western Pacific Roofing Corp.* (1999) 75 Cal.App.4th 110, 117 [internal citation omitted].)

A judgment that “substantially modifies the original judgment or materially alters the rights of the parties, may not be made by the court under its authority to correct clerical error, therefore, unless the record clearly demonstrates that the error was not the result of the exercise of judicial discretion.” (*In re Candelario, supra*, 3 Cal. 3d. at 705.)

Relief under section 473(d) is appropriate. The Plaintiff’s Complaint very clearly stated that it was an action for judicial foreclosure and at every stage of the litigation, Plaintiff unequivocally sought a judgment of foreclosure. (See *C.J.A. Corp. v. Trans-Action Fin. Corp.* (2001) 86 Cal. App. 4<sup>th</sup> 664, 670.) The failure to include the foreclosure in the judgment is a clerical error inadvertently made by the Plaintiff’s counsel. The fact that counsel immediately sought to rectify the erroneous judgment supports this contention.

Accordingly, the Court **GRANTS** the motion.

The clerk shall provide notice of this ruling to the parties forthwith. The Court intends to sign the submitted Proposed Order.

## **GREENROOT v WEBSTER**

**25CV48032**

### **PLAINTIFF'S MOTIONS 1) TO STRIKE CROSS-COMPLAINT; 2) FOR LEAVE TO FILE THIRD AMENDED VERIFIED COMPLAINT; and 3) FOR ORDER TO PRESERVE AND PRODUCE ELECTRONIC COMMUNICATIONS**

This case involves a contract dispute concerning real property brought by Lorna Greenroot ("Plaintiff") against Penelope Webster ("Webster.") Now before the Court are three separate motions filed by Plaintiff: 1) Motion to Strike Cross-Complaint; 2) Motion for Leave to File Third Amended Complaint ("TAC"); and 3) Motion to Preserve Evidence. As the motions regard the same set of facts and procedural history, the Court will consider all three together herein. Webster opposes the motions.

Plaintiff filed amended notices which included the required language set forth in Local Rule 3.3.7.

#### **I. Background**

Plaintiff filed her original complaint on April 30, 2025, against Webster, alleging causes of action for: 1) quiet title, 2) breach of contract, and 3) unjust enrichment. Before Defendant filed an Answer, Plaintiff filed a First Amended Complaint ("FAC") against Webster which removed the cause of action for unjust enrichment.

On May 20, 2025, Webster filed a Cross-Complaint for 1) breach of lease agreement, 2) breach of lease to own agreement, 3) declaratory relief, 4) slander of title, 5) elder abuse, and 6) ejectment.

On May 22, 2025, Plaintiff sought leave to file a Second Amended Complaint against Webster in order to clarify her own theories of relief and rebut Webster's allegations in the cross-complaint. Webster had offered to stipulate to this amendment but Plaintiff did not respond to said offer. (Defendant's notice of non-opposition.)

This motion was denied as moot because on May 30, 2025, Plaintiff filed the instant motion for leave to file her TAC. Plaintiff seeks to add Randy Webster as a new defendant, as well as to add causes of action for fraud, conspiracy, of title, and intentional infliction of emotional distress.